LINCOLN ELECTRIC SYSTEM

STATEMENT OF NET POSITION

As of December 31, 2025

		(Dollars in thousands)
Assets and Deferred Outflows of Resources		
Current Assets		
Cash and cash equivalents	$	140,927
Restricted cash, cash equivalents and investments		22,126
Accounts receivable, net		27,851
Lease receivable		330
Accrued lease interest		1
Unbilled revenues		20,482
Accrued interest receivable		526
Materials, supplies and fuel inventory		37,329
Plant operation assets		19,996
Other current assets		8,212
Total current assets		277,780
Noncurrent Assets		
Restricted cash, cash equivalents and investments		31,916
Lease receivable		7,285
Accrued lease interest		184
Other noncurrent assets		8,154
Total noncurrent assets		47,539
Capital Assets		
Utility plant		1,896,196
Accumulated depreciation		(1,003,816)
Construction work in progress		216,344
Total capital assets		1,108,724
Deferred Outflows of Resources		
Deferred loss on refunded debt		5,687
Deferred costs for asset retirement obligations		3,385
Total deferred outflows of resources		9,072
Total Assets and Deferred Outflows of Resources	$	1,443,115
Liabilities and Deferred Inflows of Resources		
Current Liabilities		
Accounts payable	$	24,197
Accrual for payments in lieu of taxes		14,800
Commercial paper		150,000
Accrued software interest		41
Accrued liabilities		28,944
Current maturities of long-term debt		37,580
Current maturities of software liabilities		1,372
Accrued interest payable		5,934
Total current liabilities		262,868
Noncurrent Liabilities		
Long-term debt, net		443,603
Developer performance deposits		21,326
Health and dental plan reserves		1,235
Asset retirement obligation		3,385
Software liabilities		1,339
Total noncurrent liabilities		470,888
Deferred Inflows of Resources		
Leases		6,892
Total deferred inflows of resources		6,892
Total liabilities and deferred inflows of resources		740,648
Net Position		
Net investment in capital assets		488,241
Restricted for debt service		12,969
Restricted for employee health insurance claims		2,655
Unrestricted		198,602
Total net position		702,467
Total Liabilities, Deferred Inflows of Resources and Net Position	$	1,443,115

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF REVENUES, EXPENSES AND CHANGES IN NET POSITION

For the Year Ended December 31, 2025

	(Dollars in thousands)
Operating Revenues	
Electric retail	$ 326,759
Electric wholesale	58,925
Other	10,639
Total operating revenues	396,323
Operating Expenses	
Purchased power	86,263
Produced power	67,456
Operations	29,711
Maintenance	15,159
Administration and general	66,354
Depreciation and amortization	40,829
Total operating expenses	305,772
Operating Income	90,551
Noncapital Subsidies	
City dividend for utility ownership revenue	13,817
City dividend for utility ownership expense	(14,243)
Payment in lieu of taxes	(15,065)
Total noncapital subsidies	(15,491)
Operating Income and Noncapital Subsidies	75,060
Nonoperating Revenues (Expenses)	
Interest expense	(17,410)
Other expense	(139)
Interest income	7,857
Total nonoperating expenses	(9,692)
Capital Contributions	24,875
Plant Costs Recovered through Capital Contributions	(24,875)
Change in Net Position	65,368
Net Position - Beginning of Year	637,099
Net Position - End of Year	$ 702,467

See Notes to the Financial Statements.

LINCOLN ELECTRIC SYSTEM

STATEMENT OF CASH FLOWS

For the Year Ended December 31, 2025

	(Dollars in thousands)
Operating Activities	
Received from sales to customers and users	$ 382,005
Sales tax receipts	18,175
Paid to suppliers for goods and services	(221,518)
Paid to employees for services	(49,670)
Payments for sales tax	(17,974)
Net cash provided by operating activities	111,018
Noncapital Financing Activities	
Payment in lieu of taxes	(13,970)
City Dividend for Utility Ownership revenue	13,817
City Dividend for Utility Ownership payments	(13,719)
Net cash used in noncapital financing activities	(13,872)
Capital and Related Financing Activities	
Capital expenditures	(108,883)
Net cost/salvage value of retiring plant	(2,294)
Capital contributions	15,888
Capital contributions received in advance	3,252
Cash received from leases	514
Principal payments on software agreements	(1,419)
Interest payments on software agreements	(113)
Proceeds from commercial paper issuance	84,500
Principal payments on long-term debt	(35,740)
Interest payments on long-term debt	(20,773)
Net cash used in capital and related financing activities	(65,068)
Investing Activities	
Net purchases of investments	(27,960)
Interest received	7,858
Net cash used in investing activities	(20,102)
Net Change in Cash and Cash Equivalents	11,976
Cash and Cash Equivalents - Beginning of Year	47,368
Cash and Cash Equivalents - End of Year	$ 59,344
Reconciliation of Cash and Cash Equivalents to the Balance Sheet	
Cash and cash equivalents	$ 140,927
Restricted cash, cash equivalents and investments - current	22,126
Restricted cash, cash equivalents and investments - noncurrent	31,916
Total cash, cash equivalents and investments	194,969
Less: investments not classified as cash equivalents	(135,625)
Total cash and cash equivalents	$ 59,344

See Notes to the Financial Statements.

Lancaster County, Lincoln Public Schools and the City of Waverly for payment in lieu of taxes. The accrued liability for payment in lieu of taxes was $14,800,000 as of December 31, 2025.

City Dividend for Utility Ownership (CDFUO)

In 2011, the Lincoln City Council approved an ordinance requiring LES to pay an annual dividend to the City of Lincoln for the city's ownership of LES. As amended in 2020, the ordinance states that LES shall remit to the City a dividend for utility ownership in an amount equivalent to 2.4% of the Total Net Position (Net Assets) of LES, as of December 31, based upon the most recent audited year-end financial statements. The dividend is remitted to the City semiannually on the 20th day of February and August each year. Each payment represents 50% of the annual dividend payment. In 2025, LES submitted CDFUO payments totaling $13,719,000.

The CDFUO is assessed on all retail customer billings and is treated as a noncapital subsidy received on the Statement of Revenues, Expenses and Changes in Net Position. LES records the expense for the CDFUO as a noncapital subsidy provided on the Statement of Revenues, Expenses and Changes in Net Position. The accrued liability for CDFUO was $5,097,000 as of December 31, 2025.

Recent Accounting Pronouncements, adopted

GASB Statement No. 102, *Certain Risk Disclosures*, was issued in December 2023, effective for fiscal years beginning after June 15, 2024. The objective of this statement is to provide users of the government's financial statements with essential information about risks related to a government's vulnerabilities due to certain concentrations or constraints. LES adopted this statement in 2025 and determined that there are no additional required disclosures or impacts to LES' financial position, operating results, or cash flows.

GASB Statement No. 103, *Financial Reporting Model Improvements*, was issued in April 2024, effective for fiscal years beginning after June 15, 2025. LES early adopted this statement in 2025. See Note 2 - Accounting Change for additional information regarding this implementation.

Recent Accounting Pronouncements, not yet adopted

GASB Statement No. 104, *Disclosure of Certain Capital Assets*, was issued in September 2024, effective for fiscal years beginning after June 15, 2025. This statement requires certain types of capital assets to be disclosed separately in the capital assets note disclosures. Lease assets and intangible right-to-use assets should be disclosed separately by major class of underlying asset in the capital assets note disclosures. Subscription assets should also be separately disclosed. In addition, this statement requires intangible assets other than those three types to be disclosed separately by major class and it requires additional disclosures for capital assets held for sale. LES is currently assessing the disclosure impact of adopting this statement.

GASB Statement No. 105, *Subsequent Events*, was issued in December 2025, effective for fiscal years beginning after June 15, 2026. This statement clarifies the subsequent events time frame and the subsequent events that constitute recognized and nonrecognized events, in addition to specifying the information items that are required to be disclosed about subsequent events. The objective of this statement is to improve the financial reporting requirements for subsequent events by enhancing consistency in their application and better meeting the information needs of financial statement users. LES is currently assessing the disclosure impact of adopting this statement.